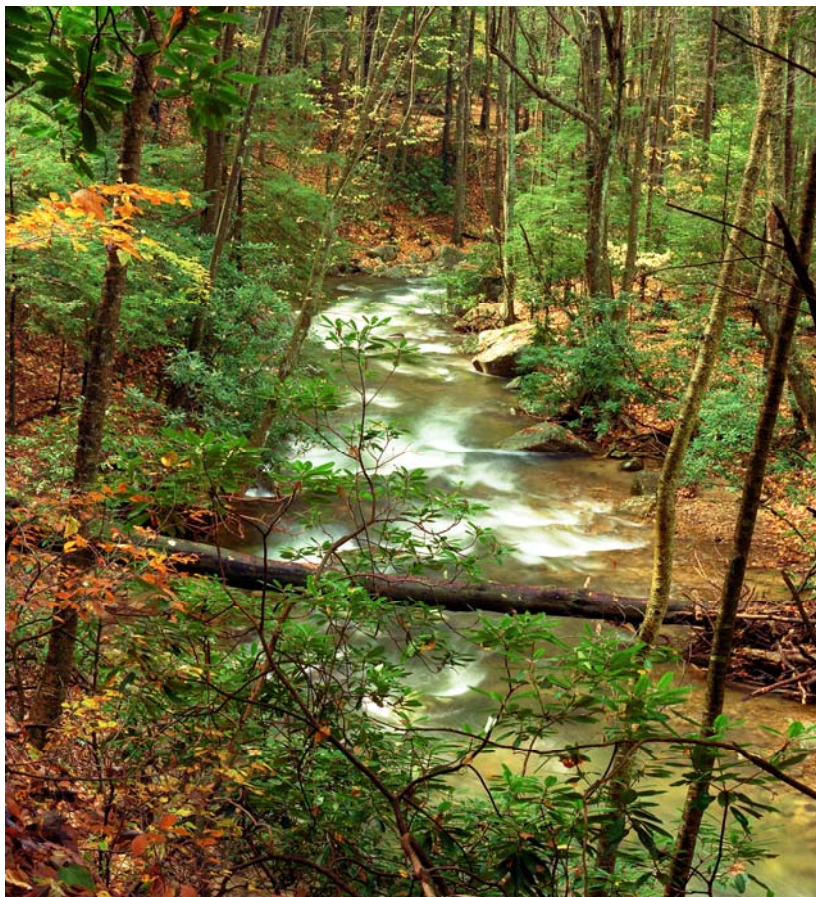


PARDEE RESOURCES COMPANY

3RD QUARTER 2023



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q3 2023, Pardee Resources Company earned \$6.39 per share, as compared to \$1.63 per share earned during Q3 2022. EBITDA during the quarter was \$11.60 per share, versus EBITDA of \$6.14 per share earned in 2022. Please note that last year's results were impacted by a non-cash impairment charge related to certain solar photovoltaic (PV) assets, without which our Q3 2022 per share earnings and EBITDA would have been \$7.53 and \$12.04, respectively. While higher coal prices during the quarter boosted our results, the Company was negatively impacted by year-over-year price declines for both natural gas and timber. Revenues from our Alternative Energy Division declined following the sale of certain solar PV assets completed in Q2 2023. While high market prices are expected to improve the performance of our California table grape operations, unseasonal frost negatively impacted the almond yields at our farm in Portugal.

Metallurgical Coal Division: During Q3 2023, the global metallurgical coal supply increased while demand was flat, putting downward pressure on market prices and impacting domestic and export contract settlements for 2024. The lower prices notwithstanding, Appalachian producers are expected to continue to enjoy healthy profit margins going forward, as their premium coals are valued throughout the world steel markets. Meanwhile, during Q3 2023, Pardee's Coal Division revenues totaled \$6.3 million, 26.5% higher than the \$5.0 million earned one year ago. Results were supported by a 4.5% increase in tons mined and sold from our properties, and a 19.1% increase in royalty per ton, as the selling price of coal produced from our properties benefited from strong 2023 contract pricing.

Oil & Gas Division: During Q3 2023, natural gas prices in the Appalachian Basin reached multi-year lows, averaging \$1.22 per MMBtu, an 82.9% decline versus the average price of \$7.16 per MMBtu realized during Q3 2022. Already low prices were pressured further by weak seasonal demand and "associated" natural gas from the Texas oil fields. Prices are expected to strengthen with the onset of the winter heating season, and as of October 2023, Q1 2024 Appalachian futures prices averaged \$2.80 per MMBtu. The lower prices resulted in quarterly Division revenues falling 71% year-over-year, from \$4.1 million in 2022, to \$1.2 million in 2023. Quarterly production from our properties was flat year-over-year, as new wells on our Colorado holdings offset normal declines. We executed a lease on our eastern Kentucky acreage where up to 15 shallow horizontal wells are planned for Q1 2024, targeting both oil and natural gas.

Timber & Surface Division: A tepid global economy, in combination with both elevated mortgage rates and persistent inflation domestically, weighed on the demand and prices for both hardwood and softwood lumber. U.S. hardwood exports to China during 2023 are expected to be the lowest in over ten years, while inflation pushed domestic home builders to use cheaper, substitute materials for hardwood flooring and cabinetry. Meanwhile, the lingering post-COVID decline in demand for shipping materials continued to impact softwood pulp prices. For the nine months ending September 30, 2023, timber production from our properties was lower than it was last year, as in 2022 production was accelerated to take

advantage of the strong market prices. Offsetting the decline in timber revenues, our rural real estate initiatives generated gains of \$456,684 during the quarter, helping the Division to achieve \$1.56 million in quarterly revenues, only slightly below Q3 2022 levels.

Alternative Energy Division: As we previously reported, the Company sold the majority of its solar PV installations located in New Jersey, while retaining all of its remaining solar PV facilities located in California and Arizona. As expected, the sale led to a reduction in power generated from our portfolio during Q3 2023, which totaled 3.6 MWh, down 20.2% versus the 4.5 MWh produced during Q3 2022. Similarly, Division revenues during the quarter were 31.3% below our Q3 2022 results. Meanwhile, we continue to seek new investment opportunities in renewable energy.

Agriculture Division: In August, Hurricane Hilary made landfall in southern California, a rare event for the region, and dumped over 2" of rain in less than 24 hours on the area's farmland. The rains came during the sensitive harvest period for table grapes, resulting in extensive crop damage and lower yields, which in turn led to market shortages and significant price increases. Thankfully, our table grape ranches appear to have incurred only limited damage, enabling us to benefit fully from the higher prices. Upon final harvest at our Portugal almond tree farm, it became apparent that low temperatures early in the growth season caused this year's yields to be lower than anticipated.

Summary: We remain focused on our mission of supplying important natural resource inputs for the domestic and global economies. We have benefited once again from our diversified portfolio as coal performed well during the quarter, while natural gas and timber were weighed down by weak commodity prices. The Company ended the quarter with \$31 million in cash and limited debt, allowing us to meet our dual goals of returning capital to shareholders and investing for future growth. As always, we are grateful for the skill, dedication, and hard work of our employees, whose daily contributions during the quarter provided for the Company's ongoing success.

*Please see page 6 for an update of legal matters.

Sincerely yours,



Chairman
Benjamin A. Burditt



President & CEO
Carleton P. Erdman

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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

ASSETS	<u>9-30-23</u>	<u>12-31-22</u>
Current Assets:		
Cash & Cash Equivalents	\$30,799	\$22,688
Accounts Receivable	5,737	9,280
Prepaid Income Taxes	0	426
Assets Held for Sale	0	1,685
Other	<u>6,193</u>	<u>1,019</u>
	<u>42,729</u>	<u>35,098</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	27,878	27,954
Mineral Rights - Coal	32,829	32,956
Timber	9,324	9,532
Solar Equipment	11,285	11,859
Building & Structures	1,087	1,141
Agriculture Development	9,605	9,428
Equipment	293	266
Automobiles	255	229
Other Fixed Assets	<u>1,385</u>	<u>1,467</u>
	<u>93,941</u>	<u>94,832</u>
Investments & Other:		
Oil & Gas Investments (Net of Depl. & Deprec.)	33,386	33,904
Equity Investments	0	523
Right of Use Asset	3,136	3,262
Other	<u>129</u>	<u>153</u>
Total Assets	<u><u>\$173,321</u></u>	<u><u>\$167,772</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$2,384	\$2,300
Deferred Revenues	437	223
Taxes Payable	693	223
Current Portion of Note Payable (non-recourse)	118	118
Current Portion Lease Liability	<u>279</u>	<u>279</u>
	3,911	3,143
Noncurrent Liabilities:		
Non-recourse Debt	873	949
Supplemental Pension Plan	654	534
Deferred Taxes	15,566	15,566
Deferred Revenue, Net of Current Portion	620	475
Asset Retirement Obligation	32	32
Lease Liability	3,344	3,371
Other	<u>0</u>	<u>121</u>
Total Liabilities	<u>25,000</u>	<u>24,191</u>
Shareholders' Equity:		
Common Stock	775	775
Additional Paid in Capital	12,677	13,857
Accumulated Other Comprehensive Income	(301)	(154)
Retained Earnings	157,335	149,679
Treasury Stock	<u>(26,025)</u>	<u>(24,042)</u>
	144,461	140,115
Noncontrolling Interest	<u>3,860</u>	<u>3,466</u>
Total Equity	<u>148,321</u>	<u>143,581</u>
Total Liabilities & Equity	<u><u>\$173,321</u></u>	<u><u>\$167,772</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>09-30-23</u>	Three Months Ended <u>09-30-22</u>	Nine Months Ended <u>09-30-23</u>	Nine Months Ended <u>09-30-22</u>
Divisional Revenues:				
Metallurgical Coal	\$6,318	\$4,994	\$17,289	\$16,036
Oil & Gas	1,200	4,137	4,732	10,784
Timber & Surface	1,557	1,604	4,170	6,723
Alternative Energy	580	844	1,974	2,541
Agriculture	<u>53</u>	<u>7</u>	<u>58</u>	<u>152</u>
	<u>9,708</u>	<u>11,586</u>	<u>28,223</u>	<u>36,236</u>
Divisional Expenses:				
Metallurgical Coal	894	622	2,326	2,124
Oil & Gas	1,083	1,042	3,133	3,154
Timber & Surface	644	881	2,223	2,533
Alternative Energy	512	587	1,886	1,601
Agriculture	<u>422</u>	<u>468</u>	<u>933</u>	<u>900</u>
	<u>3,555</u>	<u>3,600</u>	<u>10,501</u>	<u>10,312</u>
Net Operating Income	\$6,153	\$7,986	\$17,722	\$25,924
Interest and Other Income	186	45	471	70
Gain (Loss) on Equity Investment	394	0	1,080	(2)
General and Administrative	(1,387)	(1,458)	(4,793)	(4,789)
Asset Impairment	0	(3,892)	0	(3,892)
Interest Expense	<u>(19)</u>	<u>(9)</u>	<u>(46)</u>	<u>(22)</u>
Income Before Taxes	\$5,327	\$2,672	\$14,434	\$17,289
Taxes	<u>1,278</u>	<u>1,792</u>	<u>3,464</u>	<u>5,782</u>
NET INCOME	\$4,049	\$880	\$10,970	\$11,507
Net Loss - Noncontrolling Interest	<u>134</u>	<u>197</u>	<u>285</u>	<u>286</u>
Net Income - Pardee Resources Shareholders	<u>\$4,183</u>	<u>\$1,077</u>	<u>\$11,255</u>	<u>\$11,793</u>
EARNINGS PER SHARE	<u>\$6.39</u>	<u>\$1.63</u>	<u>\$17.19</u>	<u>\$17.87</u>
EBITDA PER SHARE (earnings before interest, taxes, depreciation and amortization)	<u>\$11.60</u>	<u>\$6.14</u>	<u>\$27.07</u>	<u>\$26.55</u>
Weighted Average Number of Common Shares Outstanding	<u>654,665</u>	<u>659,910</u>	<u>654,665</u>	<u>659,910</u>
Common Dividend Per Share	<u>\$1.80</u>	<u>\$1.80</u>	<u>\$5.40</u>	<u>\$5.40</u>
Total Shareholder Return (dividend paid plus change in stock price)			<u>1.31%</u>	<u>22.88%</u>

Pardee Resources Company Comparison Data Sheet

	Three Months Ended 09-30-23	Three Months Ended 09-30-22	% Change	Nine Months Ended 09-30-23	Nine Months Ended 09-30-22	% Change
Metallurgical Coal						
Revenues - Millions	\$6.32	\$4.99	26.7%	\$17.29	\$16.04	7.8%
Coal Tons Sold - Millions	0.70	0.67	4.5%	1.95	2.02	-3.5%
Royalty/Coal Ton	\$8.30	\$6.97	19.1%	\$8.29	\$7.42	11.7%
Oil & Gas						
Revenues - Millions	\$1.20	\$4.14	-71.0%	\$4.73	\$10.78	-56.1%
Production - bcfe	0.55	0.56	-1.8%	1.66	1.67	-0.6%
Price/mcfe	\$2.02	\$7.52	-73.1%	\$2.74	\$6.39	-57.1%
Timber & Surface						
Revenues - Millions	\$1.56	\$1.60	-2.5%	\$4.17	\$6.72	-37.9%
Production - Board feet - Millions	2.19	1.24	76.6%	8.55	9.50	-10.0%
Stumpage Price/Thousand Bd. Ft.	\$231.22	\$357.07	-35.2%	\$234.36	\$380.61	-38.4%
Production - Softwood Tons - Thousands	17.71	30.02	-41.0%	31.50	50.23	-37.3%
Stumpage Price/Ton Softwood	\$12.53	\$13.60	-7.9%	\$12.32	\$14.18	-13.1%
Production - Hardwood Tons - Thousands	4.97	4.44	11.9%	19.49	30.16	-35.4%
Stumpage Price/Ton Hardwood	\$2.47	\$3.65	-32.3%	\$2.43	\$3.01	-19.3%
Alternative Energy						
Revenues - Millions	\$0.580	\$0.844	-31.3%	\$1.974	\$2.541	-22.3%
Production - k/w - Millions	3.55	4.45	-20.2%	11.73	12.96	-9.5%
Electric Sales Price per k/w	\$0.114	\$0.117	-2.6%	\$0.113	\$0.115	-1.7%
Production - SREC Units	2,302	1,718	34.0%	10,694	10,475	2.1%
SREC Price/Credit	\$66	\$153	-56.9%	\$72	\$94	-23.4%
NET DIVISIONAL OPERATING INCOME:						
(Dollars in Millions)						
Metallurgical Coal	\$5.42	\$4.37	24.0%	\$14.96	\$13.91	7.5%
Oil & Gas	0.12	3.10	-96.1%	1.60	7.63	-79.0%
Timber & Surface	0.91	0.72	26.4%	1.95	4.19	-53.5%
Alternative Energy	0.07	0.26	-73.1%	0.09	0.94	-90.4%
Agriculture	(0.37)	(0.46)	19.6%	(0.88)	(0.75)	-17.3%
Net Operating Income	<u>\$6.15</u>	<u>\$7.99</u>	-23.0%	<u>\$17.72</u>	<u>\$25.92</u>	-31.6%
EBITDA - Millions	<u>\$7.60</u>	<u>\$4.05</u>	87.7%	<u>\$17.73</u>	<u>\$21.41</u>	-17.2%
(earnings before interest, taxes, depreciation and amortization)						

Lexington v. Zinn

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

On October 16, 2019, the District Court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This favorable decision was appealed by the plaintiff. The District Court denied this appeal and the plaintiff subsequently requested a rehearing from the Court of Appeals. This request for rehearing was denied. The plaintiff later filed a request for discretionary review with the Louisiana Supreme Court which was denied. Discovery is not complete in this case, and a trial date has not been set. Plaintiff's counsel has also provided notice indicating intent to pursue alternative remedies through a regulatory enforcement action but has not yet filed such an action.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

DC Solar Solutions, Inc.

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government had seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2019, an independent audit located and identified all of the 125 MSGs purchased by the Fund in 2015. On July 2, 2020, the DC Solar Bankruptcy Court entered an order authorizing the sale of the Fund's MSGs, along with those of the other DC Solar funds. The buyer conducted an inventory of the MSGs to be purchased and was able to locate only 113 of the Fund's 125 MSGs that had been located during the 2019 inventory. In September 2020, the buyer closed on its acquisition of the 113 MSGs, yielding \$412,225 in gross sale proceeds. As a result of the MSG sale, the Company was required to recapture the fifth unvested year related to the underlying investment tax credit that had been available with respect to the original investment. In 2015, the investment allowed the Company to claim a \$5.6 million investment tax credit which requires a five-year holding period. The accounting for this investment tax credit in 2015 created a \$5.6 million tax asset while recording a direct offset of the equity investment's carrying value. In 2020, the 20% investment tax credit recapture restored the investment's carrying amount to \$1.1 million, or 20% of the original investment tax credit claimed. Subsequently, the Company recorded a \$1.1 million charge to 2020 pre-tax earnings related to this recapture. For tax purposes, the \$1.1 million charge is not tax deductible, and 20% of the original tax asset was removed from the Balance Sheet.

In 2022, the Company was provided with a draft "Notice of Proposed Adjustment" (NOPA) from the IRS related to their current IRS exam for tax year 2018. The NOPA included a \$1.4 million tax assessment associated with the investment tax credits the Company utilized in tax years 2018 and 2019, plus interest. According to the NOPA, the IRS is challenging the values the Company had initially assigned to the MSGs and whether they had all been effectively placed in service, and consequently whether the amount of the associated investment tax credits were appropriate. The Company is considering the appeal of these conclusions but while the process is pending, has established a reserve for the full \$1.4 million as of December 31, 2022. Due to various uncertainties, the Company is currently unable to determine the final financial impact arising from this complex situation; however, this impact could be as much as \$1.5 million, which includes the full amount of the IRS tax assessment plus interest.

Forward-Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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